have not proved able to take much advantage of a general systematic movement out of and into ordinary shares as a whole at different phases of the trade cycle," he wrote. "As a result of these experiences I am clear that the idea of a wholesale shift is for various reasons impracticable and indeed undesirable. Most of those who attempt to [do so] sell too late and buy too late, and do both too often, incurring heavy expenses and developing too unsettled and speculative state of mind, which if it is widespread has besides the grave social disadvantage of aggravating the scale of the fluctuations."[30]

High turnover produces heavy expenses, fuels a speculative state of mind, and makes the overall market fluctuations worse. True then, true now.

# Charles Munger Partnership

Although Berkshire Hathaway's investment performance is usually tied to its chairman, we should never forget that vice chairman Charlie Munger is an outstanding investor himself. "I ran into him in about 1960," said Buffett, "and I told him law was a fine hobby but he could do better."[31] As you may recall from Chapter 2, Munger at the time had a thriving law practice in Los Angeles, but gradually shifted his energies to a new investment partnership bearing his name.

"His portfolio was concentrated in very few securities and, therefore, his record was much more volatile," Buffett explained, "but it was based on the same discount-from-value approach." In making investment decisions for his partnership, Charlie followed the Graham methodology and would only look at companies that were selling below their intrinsic value. "He was willing to accept greater peaks and valleys in performance, and he happens to be a fellow whose psyche goes toward concentration."[32]

Notice that Buffett does not use the word *risk* in describing Charlie's performance. Using the conventional definition of risk as found in modern portfolio theory, where risk arises from price volatility, some would say that, over its 13-year history, Charlie's partnership was extremely risky. Its standard deviation was almost twice that of the market. But beating the average annual return of the market by 18 points over that time period was an achievement not of a risk taker but of an astute investor.